IC Memo
EMBECTA

Recommendation & Investment Thesis

Recommendation: PASS

Embecta is an operationally solid B1 credit with stable margins, consistent cash generation, and a deleveraging track record. The business is not impaired. The PASS reflects the view that at current spreads, compensation is insufficient for the specific risks this issuer carries relative to the healthcare credit cohort.

Three risks are underweighted in the current spread. First, the category is in secular decline. Pen needle units in developed markets have contracted for four consecutive years, offset only by mix and geography, both of which have natural ceilings. GLP-1 adoption is a mixed dynamic for the franchise, delaying insulin initiation in Type 2 patients while generating pen tip demand at lower margin and lower volume per patient than insulin consumables. Net effect over a 5 to 10 year horizon is compressive to the core. Management's FY26 guide of $360M EBITDA against $415M LTM is the first formal acknowledgment. Second, the March 2026 Owen Mumford acquisition ($134M upfront, up to $200M total with Aidaptus sales earnout, RCF-financed, closing FY26 Q3) marks a capital allocation pivot away from debt paydown. Management funded the purchase with a revolver draw rather than cash or delayed debt reduction, signaling a shift in posture ahead of the 2029 refinancing. The draw reduces the undrawn revolver cushion that anchored the optimistic recovery scenario, and FY27 is guided dilutive to adjusted net income, flattening near-term FCF available for debt reduction. Third, customer concentration (McKesson, Cardinal, Cencora at 42% of revenue) structurally compounds the first two risks, as declining volumes shift pricing power toward distributors.

At S+300 (6.68% YTW) and 5% notes at 6.56% YTW, Embecta trades 100bps wide of higher-rated healthcare comps, a rating-adjusted gap that does not reflect the risks above. Re-underwrite at 75bps or greater TLB widening, 5% notes YTW at 7.50% or higher, or post-FY26 earnings print confirming deleveraging resumes on the management trajectory.

Summary Deal Information

Company	Embecta Corp.	Corporate Rating/Outlook	B+/B1(Stable)
HQ Location	Franklin Lakes, NJ	Facilities Ratings (recovery)	B+/B1(Stable)
Industry	Healthcare	Yield to Maturity	6.68%
Sponsor	Public	LTM Period	
Purpose	Spin Off	Net Sales (mm)	$1,079.70
Lead Agent	Morgan Stanley	LTM Adj. EBITDA (mm)	$ 415.10
Spread + Floor	S+ 300bps	LTM Adj. EBITDA Margin	38.4%
OID / Price	97.25	1st Lien Leverage	2.8x
Maturity	3/31/2029	EBIT/Interest	3.3x
Primary/Secondary Market	Secondary	PF Adj. EBITDA-Capex/Int.Coverage	3.9x

Sources and Uses ($mm)

Revolving Credit Facility	-	Paydown Revolving Credit Facility	-
First Lien Term Loan B	1,150.0	Cash Distribution to BD	1,440.0
Other Secured Debt	500.0	Cash to Balance Sheet	160.0
		Fees, Expenses, OID	50.0
Total Sources	**$ 1,650**	**Total Uses**	**$ 1,650**

PF Capital Structure ($mm)	Amount	LTM	Proj	LTV	Price	Spread	Interest	Maturity	YTW	Ratings
Revolver ($500 mm)	-				100.00%	S+ 300bps	-	3/31/2027	6.71%	B+/B1
First Lien Term Loan B	679.3				100.08%	S+ 300bps	45.6	3/31/2029	6.68%	B+/B1
5.0 First Lien Secured Noted due February 2030	500.0				94.79%	-	25.0	2/15/2030	6.56%	B+/B1
6.75 First Lien Secured Noted due February 2030	200.0				94.75%	-	13.5	2/15/2030	8.38%	B+/B1
Total Secured Debt	**1,379.3**	**3.3x Net 2.8x**	**3.8x**	**78%**			**84.1**			
Less: Debt issuance Costs/Discounts	(16.9)									
Plus: Capitalized Leases (Long Term + Short Term)	31.7									
Total Debt	**1,394.1**			**79%**						
Less: Cash	(201.3)									
Net Debt	**1,192.8**	**2.9x**	**3.3x**	**67%**			**84.1**			
Equity Value	576.8									
Enterprise Value	**1,769.6**	**4.3x**	**4.9x**							
PF Adj. EBITDA		415.1	359.9							
Capex		(8.4)	(8.4)							
Cash Interest		(103.5)	(84.1)							
Taxes		(56.4)	(48.9)							
Changes in NWC		(23.7)	(23.7)							
Other CFO		(17.3)	(17.3)							
FCF		**205.8**	**177.5**							

	LTM		Projected	
	Secured	Total	Secured	Total
LTV	78%	79%	78%	79%
EBITDA/Interest	4.0x	4.0x	4.3x	4.3x
(EBITDA-Capex)/Interest	3.9x	3.9x	4.2x	4.2x
FCF(debt)	14.9%	14.8%	12.9%	12.7%

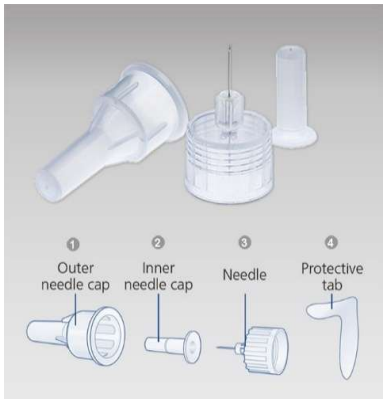
Summary Financials

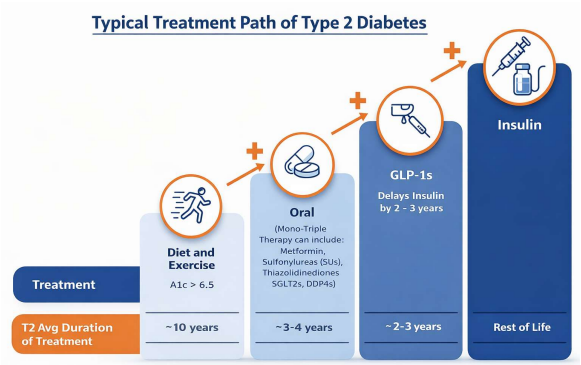
	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	1,165.3	1,129.5	1,120.8	1,123.1	1,080.4	1,079.7	1,082.0
% Growth	-	*(3.1%)*	*(0.8%)*	*0.2%*	*(3.8%)*	*(0.1%)*	*0.2%*
Adj. EBITDA	565.5	459.9	378.3	353.1	415.1	415.1	359.9
Acq. Adjustments	-	-	-	-	-	-	-
PF Adj. EBITDA	565.5	459.9	378.3	353.1	415.1	415.1	359.9
Capex	(36.8)	(23.6)	(26.5)	(15.8)	(9.3)	(8.4)	(8.4)
Cash Interest	-	(46.2)	(107.0)	(112.3)	(107.3)	(103.5)	(84.1)
Taxes	(80.1)	(33.0)	(35.3)	34.1	(40.9)	(56.4)	(48.9)
Change in NWC	(30.5)	91.9	(80.0)	(47.7)	(23.7)	(23.7)	(23.7)
Other CFO	1.4	(60.4)	(88.3)	(191.5)	(51.5)	(17.3)	(17.3)
FCF	419.5	388.6	41.2	19.9	182.4	205.8	177.5
Acquisitions, Net	(2.4)	(0.4)	-	-	-	10.1	-
Sale of Assets	-	-	-	-	-	-	-
Change in Debt	-	1,406.3	(9.5)	(34.6)	(184.6)	(189.7)	-
Equity Transactions, Net	(417.1)	(1,452.5)	(34.4)	(34.5)	(35.0)	(35.1)	(34.8)
Stock Buyback	-	-	-	-	-	-	-
Other CFF	-	(1.8)	(4.8)	(4.3)	(7.1)	(8.3)	(5.3)
Change in Cash	-	340.2	(7.5)	(53.5)	(44.3)	(17.2)	137.5
FCF Yield	23.7%	22.0%	2.3%	1.1%	10.3%	11.6%	10.0%
Total Debt	-	1,643.8	1,638.5	1,608.4	1,430.3	1,394.1	1,394.1
Cash	-	330.9	326.5	267.5	225.5	201.3	201.3
Net Debt	-	1,312.9	1,312.0	1,340.9	1,204.8	1,192.8	1,192.8
Net Debt / EBITDA	-	2.9x	3.5x	3.8x	2.9x	2.9x	3.3x
Total Debt / EBITDA	-	3.6x	4.3x	4.6x	3.4x	3.4x	3.9x
EBITDA - Capex / Interest	-	9.4x	3.3x	3.0x	3.8x	3.9x	4.2x

Business Overview

Embecta Corp. is a medical device company focused on diabetes care products used for insulin delivery and was spun off from Becton, Dickinson and Company (“BD”) in April 2022 as an independent publicly traded entity. The company generates the majority of revenue from disposable insulin injection products, including pen needles (~75–80% of revenue), insulin syringes (~15–20%), and safety injection devices and other ancillary products (~5–10%). In 2024, management discontinued development of its insulin patch pump program following a strategic review, redirecting capital toward debt reduction and stabilization of the core franchise. Embecta manufactures approximately 8–9 billion units annually across a global manufacturing footprint and maintains ongoing supply agreements with BD for certain critical components, including cannulas. The company benefits from leading market positions in insulin injection devices, with market share exceeding 50% in several core geographies, supported by manufacturing scale and established distribution relationships. Products are primarily sold through pharmaceutical wholesalers and retail pharmacy channels under contractual pricing arrangements, with reimbursement determined through payor coverage frameworks in developed markets and predominantly cash-pay dynamics in emerging markets. Customer concentration reflects the industry’s distribution structure, with McKesson, Cardinal Health, and Cencora collectively representing approximately 42% of revenue. Revenue is geographically diversified, with roughly 50–55% generated in the United States and the balance internationally. Demand for Embecta’s products is largely non-discretionary and tied to insulin dependency rather than procedure volumes, supporting relatively stable unit demand and cash flow visibility, although the business remains exposed to pricing pressure, reimbursement dynamics, and supplier reliance stemming from the BD separation. In March 2026, Embecta announced a pending ~$190M (£150M) acquisition of UK-based Owen Mumford (closing FY26 Q3, RCF-financed) anchored by the Aidaptus auto-injector platform, extending the franchise into adjacent drug-delivery markets beyond insulin consumables. The deal marks a capital allocation pivot from pure deleveraging toward M&A.

	Pen Needles	Safety Pen Needles and Safety Insulin Syringes	Insulin Syringes
Position	#1 globally	#1 globally	#1 globally
Global Product Share[1]	~50%	~60%	~40%
Key Channel / Geographies	Retail pharmacy and hospital USA, China, Germany	Hospital and long-term care USA, Canada, France	Retail pharmacy USA, Mexico, India
Product	Nano™ 2nd Gen; Ultra-Fine™	AutoShield Duo™; Safety Insulin syringes	Ultra-Fine™
Manufacturing site	Dún Laoghaire (Ireland) Suzhou (China)	Dún Laoghaire (Ireland) Holdrege, NE (USA)	Holdrege, NE (USA)





Investment Risks and Strengths

Investment Strengths

- Scaled, essential consumables franchise serving insulin-dependent patients — recurring reimbursed demand across developed and emerging markets
- Leading global pen needle platform (~50% share in core markets) supported by manufacturing scale and entrenched wholesaler relationships
- Stabilized ~38% LTM EBITDA margin following post-spin cost normalization and disciplined operating execution
- Strong and repeatable FCF generation (~$200M LTM) supported by low capital intensity and manageable working capital
- Sound interest coverage (~4.0x EBITDA/interest) and ample current liquidity ($701M total with $500M undrawn revolver)
- No material maturities until 2029; refinancing capacity is manageable under current and moderately stressed rate environments
- Covenant Headroom: Ample under base and bear cases; covenant is springing/maintenance on undrawn revolver
- Recovery (undrawn scenario): 1L recovers at/near par across most EBITDA × multiple combinations; equity is fulcrum in majority of cases
- Low near-term default probability given cash cushion, FCF generation, and no maturity wall until 2029

Investment Risks

- Structural: Mature category with flat-to-modestly declining revenue; developed-market pen needle volume declining
- GLP-1 Adoption: Multi-year headwind delaying Type 2 insulin initiation across 5–10+ year horizon
- Near-Term Catalyst Negative: FY26 EBITDA step-down from $415M LTM to ~$360M creates leverage expansion before deleveraging resumes
- Recovery (drawn scenario): 1L faces meaningful impairment once EBITDA falls below ~$350M at typical 5.0x multiple once $500M revolver is drawn
- Asymmetric recovery: drawn-revolver scenario eliminates the 'principal-safe' floor that the undrawn scenario suggests
- Customer Concentration: McKesson, Cardinal Health, Cencora represent ~42% of revenue
- Supplier Dependency: Reliance on BD for cannulas and critical components post-spin
- Competitive: Diversified medical device and pharmaceutical participants with vertically integrated supply chains
- Spread Inadequacy: TLB and 5% notes trade ~100-120bps wide of healthcare comps despite lower rating and secularly declining franchise
- Leverage-Adjusted Tightness: Embecta is LESS levered than median comp (2.9x vs 3.9x), gross leverage argues for tighter spread, compounding inadequacy
- Position Sizing Constraint: 6.75% notes ($200M outstanding) precludes meaningful fund-level allocation to best relative value instrument
- Return profile primarily driven by carry; limited multiple expansion or structural growth optionality

Term Sheet Summary

Credit Facility

Borrower:	Embecta Corp.
Credit Facility:	$500M RCF, $950M 1L TL, $500M 1L Secured Notes, $200M 1L Secured Notes
Guarantors:	The borrowers + all of Embecta's material wholly-owned domestic restricted subsidiaries
Issue Date:	3/31/2022
Maturity Date:	3/31/2029
Applicable Margin:	300
CSA:	-
Financial Covenants:	Max 4.75x Net First Lien Leverage Ratio for revolver (maintenance Covenant)
Floor:	0.50%
Term Loan Amortization:	1% per annum
Call Protection:	101 soft call for six month (expired 9/30/2022)

Industry Comps ($mm)	Ticker	Price	YTD Price	Market Cap	Total Debt	Cash & Equivalents	Minority Interest	Enterprise Value	Revenue LTM	EBITDA LTM	EBITDA Margin	Net Debt /EBITDA	TEV/ EBITDA
Novo Nordisk A/S	NVO*	$ 38.58	(26.3%)	130,318	20,595	4,240	-	146,673	46,786	24,189	51.7%	0.7x	6.1x
Terumo Corp	TRUMY	$ 12.82	(12.0%)	18,859	2,552	1,519	-	19,892	7,321	1,740	23.8%	0.6x	11.4x
								Median			**23.8%**	**0.6x**	**11.4x**
Embecta Corp	EMBC	$ 9.74	(11.8%)	577	1,394	201	-	1,770	1,080	415	38.4%	2.9x	4.3x

** Novo Nordisk ($130B+ mkt cap, integrated diabetes franchise) included for reference but not comparable to $~577M Embecta levered spinco. Median excludes NVO.*

Debt Comps ($mm)	Borrower	Facility Ratings	Maturity	Spread	Amount O/S	Market Price	Yield	EBITDA	Total Debt	Cash	Gross Leverage	Total Leverage
Organon	Organon & Co	Ba2/BB	5/17/2031	S+ 225bps	1,543	99.16%	6.01%	1,706	8,644	574	5.1x	4.7x
Elanco	Elanco Animal Health	Ba1/BB+	10/31/2032	S+ 175bps	1,100	100.38%	5.44%	932	4,017	545	4.3x	3.7x
Select Medical	Select Medical Holdings	B1	12/3/2031	S+ 200bps	1,050	100.38%	5.69%	476	1,845	27	3.9x	3.8x
Average						**99.97%**	**5.71%**				**4.4x**	**4.1x**
Median						**100.38%**	**5.69%**				**4.3x**	**3.8x**
Embecta	Embecta Co	B+/B1	3/31/2029	S+ 300bps	679	100.08%	6.70%	415.1	1,394	201	3.4x	2.9x

Capital Structure

($ in millions)	Spread	Interest Rate	Maturity Date	Book Apr-26	Book Leverage	Book Gross Lev	Book FCF Yield	Book LTV	Interest Expense	Market Price	Next Call Date	Call Price	Yield-to-Worst	Current Yield	Market Value	Market Leverage	Market FCF Yield	Market LTV	S&P/Moodys Credit
Revolver ($500mm)	S+ 300bps	6.71%	3/31/27	-					-	100.00%	-	-	6.71%	6.71%	-				B+/B1
First Lien Term Loan B	S+ 300bps	6.71%	3/31/29	679.3					45.6	100.08%	-	-	6.68%	6.70%	679.8				B+/B1
5.0 First Lien Secured Noted due February 2030		5.00%	2/15/30	500.0					25.0	94.79%	2/16/27	101.25%	6.56%	5.27%	474.0				B+/B1
6.75 First Lien Secured Noted due February 2030		6.75%	2/15/30	200.0					13.5	94.75%	2/16/27	101.69%	8.38%	7.12%	189.5				B+/B1
Total Secured Debt				**1,379.3**	**2.8x**	**3.3x**	**17.5%**	**66.6%**	**84.1**						**1,343.3**	**2.8x**	**18.0%**	**64.5%**	
Less: Debt issuance Costs/Discounts				(16.9)															
Plus: Capitalized Leases (Long Term + Short Term)				31.7															
Total Debt				**1,394.1**	**2.9x**	**3.4x**	**17.3%**	**66.6%**	**84.1**										
Plus: Equity Value				576.8															
Less: Cash and Cash Equivalents				(201.3)															
Total Enterprise Value				**1,769.6**	**4.3x**	**4.3x**	**11.6%**												
2026E Gross Leverage (Mgmt Guide)						**3.9x**													
LTM → 2026E Leverage Delta						**0.6x**													

Assumptions

Value Date	4/16/2026
SOFR	3.71%
SOFR Floor	0.50%
CSA	0.00%
Stock Price	$ 9.74
Revolver Size	500.0
Incremental Term Loan	0.0
ABL Borrowing Base	500.0
LC's Outstanding	0.0

Shares Outstanding

Common Stock	59.2199
Other Class Stock	0.0000
Warrants	0.0000
TSM Shares Outstanding	0.0000
Fully Diluted Shared	59.219854
Date of Share Count	9/30/2025

2026 Guidance

Revenue (Low)	$ 1,071.0
Revenue (High)	$ 1,093.0
Adj. Operating Margin (Low)	29.0%
Adj. Operating Margin (High)	30.0%
Last Updated	4/16/2026

Financial Summary

	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	1,165.3	1,129.5	1,120.8	1,123.1	1,080.4	1,079.7	1,082.0
Acquisitions	-	-	-	-	-	-	-
PF Revenues	1,165.3	1,129.5	1,120.8	1,123.1	1,080.4	1,079.7	1,082.0
EBITDA	565.5	459.9	378.3	353.1	415.1	415.1	359.9
Acquisitions	-	-	-	-	-	-	-
PF EBITDA	565.5	459.9	378.3	353.1	415.1	415.1	359.9
Capex	(36.8)	(23.6)	(26.5)	(15.8)	(9.3)	(8.4)	(8.4)
1st Lien Int.	-	(46.2)	(107.0)	(112.3)	(107.3)	(103.5)	(84.1)
2nd Lien Int	-	-	-	-	-	-	-
Senior Int	-	-	-	-	-	-	-
Taxes	(80.1)	(33.0)	(35.3)	34.1	(40.9)	(56.4)	(48.9)
Change in NWC	(30.5)	91.9	(80.0)	(47.7)	(23.7)	(23.7)	(23.7)
Other CFO	1.4	(60.4)	(88.3)	(191.5)	(51.5)	(17.3)	(17.3)
FCF	419.5	388.6	41.2	19.9	182.4	205.8	177.5
FCF Yield	*23.7%*	*22.0%*	*2.3%*	*1.1%*	*10.3%*	*11.6%*	*10.0%*
EBITDA Margin	*48.5%*	*40.7%*	*33.8%*	*31.4%*	*38.4%*	*38.4%*	*33.3%*
% of debt	*30.4%*	*28.2%*	*3.0%*	*1.4%*	*13.2%*	*14.9%*	*12.9%*

Sources - Feb 2022 Spin off from BD

RCF	-	RCF	-
1L TL	1,150.0	Cash Distribution to BD	1,440.0
Other Secured Debt	500.0	Cash To BS	160.0
		Fees, Expenses, OID	50.0
Total	1,650.0		1,650.0

Quarterly Summary

	Q4'25	Q1'26
Revenue	264.0	261.2
Adj. EBITDA	89.8	97.2
Margin	*34.0%*	*37.2%*
Capex	(7.3)	(0.6)
Adj, FCF	86.2	22.1
Actual FCF	76.7	16.6
Uses of Cash		
Acq./Div.	-	10.1
Debt Change	(72.4)	(37.5)

Liquidity

Revolver	500.0
Less: Drawn	-
Less:LC's	0.0
Revolver Available	500
Cash	201.3
Total Liquidity	701.3

Recovery Analysis - Going Concern

Stressed EV waterfall to first lien - dual revolver scenarios

Assumptions	
Admin/Restructuring (% of EV)	3.00%
Revolver Commitment ($M)	500.0
First Lien Face Value ($M)	1,379.3
LTM EBITDA (for reference)	415.1
2026E EBITDA Guide (for reference)	359.9

Methodology

Analysis shows 1L recovery % across two revolver scenarios: (A) Undrawn revolver - optimistic, reflects current state where company has $201M cash + undrawn $500M RCF; (B) Fully drawn revolver - realistic distress assumption, where liquidity needs drive maximum revolver utilization. Real-world stress typically falls between these. Admin costs modeled at 3% of EV.

Scenario A: Undrawn Revolver (Optimistic)

	4.0x Multiple				5.0x Multiple				6.0x Multiple			
Stress EBITDA		EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %
	350.0	1,400.0	1,358.0	**98.46%**	350.0	1,750.0	1,697.5	**100.00%**	350.0	2,100.0	2,037.0	**100.00%**
	300.0	1,200.0	1,164.0	**84.39%**	300.0	1,500.0	1,455.0	**100.00%**	300.0	1,800.0	1,746.0	**100.00%**
	275.0	1,100.0	1,067.0	**77.36%**	275.0	1,375.0	1,333.8	**96.70%**	275.0	1,650.0	1,600.5	**100.00%**
	250.0	1,000.0	970.0	**70.33%**	250.0	1,250.0	1,212.5	**87.91%**	250.0	1,500.0	1,455.0	**100.00%**
	225.0	900.0	873.0	**63.29%**	225.0	1,125.0	1,091.3	**79.12%**	225.0	1,350.0	1,309.5	**94.94%**
	200.0	800.0	776.0	**56.26%**	200.0	1,000.0	970.0	**70.33%**	200.0	1,200.0	1,164.0	**84.39%**

Scenario B: Fully Drawn Revolver (Realistic Distress)

	4.0x Multiple				5.0x Multiple				6.0x Multiple			
Stress EBITDA		EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %
	350.0	1,400.0	858.0	**62.21%**	350.0	1,750.0	1,197.5	**86.82%**	350.0	2,100.0	1,537.0	**100.00%**
	300.0	1,200.0	664.0	**48.14%**	300.0	1,500.0	955.0	**69.24%**	300.0	1,800.0	1,246.0	**90.34%**
	275.0	1,100.0	567.0	**41.11%**	275.0	1,375.0	833.8	**60.45%**	275.0	1,650.0	1,100.5	**79.79%**
	250.0	1,000.0	470.0	**34.08%**	250.0	1,250.0	712.5	**51.66%**	250.0	1,500.0	955.0	**69.24%**
	225.0	900.0	373.0	**27.04%**	225.0	1,125.0	591.3	**42.87%**	225.0	1,350.0	809.5	**58.69%**
	200.0	800.0	276.0	**20.01%**	200.0	1,000.0	470.0	**34.08%**	200.0	1,200.0	664.0	**48.14%**

Recovery Summary - Both Scenarios

Metric	Scenario A (Undrawn)	Scenario B (Drawn)
Total scenarios	**18**	**18**
Recovery = 100%	**6**	**1**
Recovery ≥ 90%	**9**	**2**
Recovery ≥ 80%	**12**	**3**
Recovery < 50%	**0**	**8**
Average Recovery	**86.86%**	**56.88%**
Median Recovery	**91.42%**	**55.17%**
Minimum Recovery	**56.26%**	**20.01%**

Blended 1L Market Price (wtd by face)	97.39%

Key Takeaways

- Undrawn Scenario: 1L recovery is 100% only at high EBITDA × high multiple combinations (LTM-like states)
- Drawn Scenario: 1L impaired across most moderate-to-severe stress outcomes once revolver priority claim applied
- Reality: Distressed companies typically draw revolvers fully to preserve liquidity; Scenario B is more realistic for restructuring scenarios
- Implication: Recovery story is NOT the primary support for holding this paper - spread adequacy must compensate independently
- The gap between Scenario A and B is the "revolver priority penalty" - ~36% of 1L face value at each EV level
- At 2026E guide ($360M EBITDA) at 5.0x multiple: drawn scenario shows ~80% recovery - meaningful but not severe impairment
- Current blended market price (~95-96) already reflects some impairment risk, not just liquidity discount

Fulcrum Analysis

Where does value break? Recovery matrix across EBITDA × Multiple, dual revolver scenarios

Key Inputs	
Admin/Rstr % of EV	3.00%
Revolver Commitment ($M)	500.0
First Lien Face ($M)	1,379.3
Current Equity Market Cap ($M)	576.8

Scenario A: Undrawn Revolver - 1L Recovery Matrix

EBITDA ↓ / Multiple →	3.5x	4.0x	4.5x	5.0x	5.5x	6.0x
150.0	36.92%	42.20%	47.47%	52.74%	58.02%	63.29%
175.0	43.07%	49.23%	55.38%	61.53%	67.69%	73.84%
200.0	49.23%	56.26%	63.29%	70.33%	77.36%	84.39%
225.0	55.38%	63.29%	71.20%	79.12%	87.03%	94.94%
250.0	61.53%	70.33%	79.12%	87.91%	96.70%	100.00%
275.0	67.69%	77.36%	87.03%	96.70%	100.00%	100.00%
300.0	73.84%	84.39%	94.94%	100.00%	100.00%	100.00%
325.0	80.00%	91.42%	100.00%	100.00%	100.00%	100.00%
350.0	86.15%	98.46%	100.00%	100.00%	100.00%	100.00%
375.0	92.30%	100.00%	100.00%	100.00%	100.00%	100.00%
400.0	98.46%	100.00%	100.00%	100.00%	100.00%	100.00%
425.0	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
450.0	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

Scenario B: Fully Drawn Revolver - 1L Recovery Matrix

EBITDA ↓ / Multiple →	3.5x	4.0x	4.5x	5.0x	5.5x	6.0x
150.0	0.67%	5.95%	11.22%	16.49%	21.77%	27.04%
175.0	6.82%	12.98%	19.13%	25.28%	31.44%	37.59%
200.0	12.98%	20.01%	27.04%	34.08%	41.11%	48.14%
225.0	19.13%	27.04%	34.95%	42.87%	50.78%	58.69%
250.0	25.28%	34.08%	42.87%	51.66%	60.45%	69.24%
275.0	31.44%	41.11%	50.78%	60.45%	70.12%	79.79%
300.0	37.59%	48.14%	58.69%	69.24%	79.79%	90.34%
325.0	43.75%	55.17%	66.60%	78.03%	89.46%	100.00%
350.0	49.90%	62.21%	74.51%	86.82%	99.13%	100.00%
375.0	56.05%	69.24%	82.42%	95.61%	100.00%	100.00%
400.0	62.21%	76.27%	90.34%	100.00%	100.00%	100.00%
425.0	68.36%	83.30%	98.25%	100.00%	100.00%	100.00%
450.0	74.51%	90.34%	100.00%	100.00%	100.00%	100.00%

Fulcrum Summary - Both Scenarios

Metric	Scenario A (Undrawn)	Scenario B (Drawn)
Total scenarios in grid	78	78
Scenarios with 100% 1L recovery	**36**	**14**
Scenarios with 80-100% recovery (partial impairment)	**14**	**10**
Scenarios with <80% recovery (severe impairment)	**28**	**54**
% where equity is fulcrum (1L fully recovered)	**46.15%**	**17.95%**
Average recovery across grid	**84.97%**	**60.09%**

Interpretation

- Undrawn: Equity is fulcrum in majority of scenarios (especially at higher multiples) - 1L money-good in base state
- Drawn: Revolver claim materially reduces 1L recovery; equity is fulcrum in far fewer scenarios
- Impairment Thresholds: In drawn scenario, 1L takes some impairment once EBITDA falls below ~$350M at 5.0x multiple
- Current LTM EBITDA ($415M) and 2026E guide ($360M) both sit close to the impairment boundary in drawn scenario
- Implication: Recovery is adequate but NOT bulletproof. The "principal safe" thesis only holds under optimistic assumptions
- Thesis Conclusion: Current spread does not compensate for range of recovery outcomes across realistic distress scenarios
- Combined with secular decline and negative FY26 catalyst, this supports disciplined Pass pending spread widening

Covenant Headroom Analysis

Maintenance covenant test: Max 4.75x Net First Lien Leverage (Revolver)

Covenant Terms	
Max Net 1L Leverage Ratio	4.75x
Test Trigger	When Revolver Drawn
Current Revolver Drawn	-
Commentary	*Covenant is springing/maintenance on revolver only. Cash position supports no draw near-term.*

Base Case Projection (2026E from Mgmt Guide, Flat 2027-2029)

	LTM	2026E	2027E	2028E	2029E
Revenue ($M)	1,079.7	1,082.0	1,082.0	1,082.0	1,082.0
EBITDA ($M)	415.1	359.9	359.9	359.9	359.9
FCF ($M)	205.8	177.5	177.5	177.5	177.5
First Lien Debt ($M)	1,379.3	1,246.2	1,113.0	979.9	846.8
Cash Balance ($M)	201.3	245.7	290.1	334.4	378.8
Capitalized Leases ($M)	31.7	31.7	31.7	31.7	31.7
Net First Lien Debt	**1,209.7**	**1,032.2**	**854.7**	**677.2**	**499.7**
Net 1L Leverage	**2.9x**	**2.9x**	**2.4x**	**1.9x**	**1.4x**
Covenant Threshold	4.75x	4.75x	4.75x	4.75x	4.75x
Covenant Headroom	**38.65%**	**39.62%**	**50.00%**	**60.39%**	**70.77%**
Status	**OK**	**OK**	**OK**	**OK**	**OK**

Bear Case (-5% Revenue, 32% EBITDA Margin)

	LTM	2026E	2027E	2028E	2029E
Revenue ($M) (-5% p.a.)	1,079.7	1,025.7	974.4	925.7	879.4
EBITDA (32% margin)	415.1	328.2	311.8	296.2	281.4
FCF	205.8	148.2	131.8	116.2	101.4
First Lien Debt ($M)	1,379.3	1,305.2	1,239.3	1,181.2	1,130.5
Cash ($M)	201.3	275.4	341.3	399.4	450.1
Capitalized Leases	31.7	31.7	31.7	31.7	31.7
Net First Lien Debt	**1,209.7**	**1,061.5**	**929.7**	**813.4**	**712.0**
Net 1L Leverage	**2.9x**	**3.2x**	**3.0x**	**2.7x**	**2.5x**
Covenant Headroom	**38.65%**	**31.92%**	**37.23%**	**42.19%**	**46.73%**
Status	**OK**	**OK**	**OK**	**OK**	**OK**

Key Takeaways

- Base case: covenant headroom remains ample throughout projection period (>25%)
- Bear case: leverage elevates but remains well below 4.75x threshold given margin preservation
- Covenant is springing/maintenance - only tested if revolver is drawn (not drawn currently)
- Cash position ($201M LTM) provides liquidity buffer preventing revolver draw in near term
- Downside risk to covenant is de minimis absent severe stressed scenario beyond modeled bear